

to 72¹/₂ in 1924 and 104¹/₂ in 1925. In 1926 the stockholders were offered 200,000 shares at par (\$50), increasing the company's capital by \$10,000,000. A stock dividend of 20% was paid at the same time.

Hardly had the owners of the business paid in this additional cash, when the earnings began to shrink, and the dividend was reduced. In 1928 about \$3 were earned (consolidated basis), but only \$1 was disbursed. In the 12 months ending June 30, 1931 the company lost about \$2,500,000. The next dividend payment was omitted entirely, and the price of the stock collapsed to 7¹/₂.

The contrast between 1931 and 1921 is striking. In the earlier year the losses were larger, the profit-and-loss surplus was smaller and the cash holdings far lower than in 1931. But in 1921 the dividend was maintained, and the price thereby supported. A decade later, despite redundant holdings of cash and the presence of substantial undistributed profits, a single year's operating losses sufficed to persuade the management to suspend the dividend and permit the establishment of a grotesquely low market price for the shares.

During the period before and after the omission of the dividend the company was active in buying its own shares in the open market. These purchases began in 1929 under a plan adopted for the benefit of "those filling certain managerial positions." By June 1931 about 100,000 shares had been bought in at a cost of \$2,800,000. With the passing of the dividend, the officers and employees were relieved of whatever obligations they had assumed to pay for these shares, and the plan was dropped. In the next six months, aided by the collapse in the market price, the company acquired 50,000 additional shares in the market at an average cost of about \$11 per share. The total holdings of 150,000 shares were then retired and cancelled.

These facts, thus briefly stated, illustrate the vicious possibilities inherent in permitting managements to exercise discretionary powers to purchase shares with the company's funds. We note first the painful contrast between the treatment accorded to the White Motor managerial employees and to its stockholders. An extraordinarily large amount of stock was bought for the benefit of these employees at what seemed to be an attractive price. All the money to carry these shares was supplied by the stockholders. If the business had improved, the value of the stock would have advanced greatly, and all the benefits would have gone to the employees.